Illustration 5

From the following particulars of Vellore Recreation Club, prepare Receipts and Payments account for the year ended 31st March, 2017.

Particulars	₹	Particulars	₹
Opening cash balance as on 1.4.2016	3,000	Receipts from entertainment	20,000
Opening bank balance as on 1.4.2016	12,000	Admission fees received	1,000
Furniture purchased	11,000	Municipal taxes	22,000
Sports equipment purchased	11,000	Expenses of charity show	2,000
Donation received for pavilion	8,000	Billiards table purchased	15,000
Sale of old tennis balls	1,500	Construction of new tennis court	18,000
Newspapers bought	500	Receipts from charity show	2,500
Travelling expenses	4,500	Closing balance of cash in hand	8,000

Solution

In the books of Vellore Recreation Club

Dr. Receipts and Payments Account for the year ended 31st March, 2017 Cr.

Receipts	₹	₹	Payments	₹
To Balance b/d			By Furniture purchased	11,000
Cash in hand	3,000		By Sports equipment	
Cash at bank	12,000	15,000	purchased	11,000
To Donation received for pavilion		8,000	By Newspapers bought	500
To Sale of old tennis balls		1,500	By Travelling expenses	4,500
To Receipts from entertainment		20,000	By Municipal taxes	22,000
To Admission fees		1,000	By Expenses of charity show	2,000
To Receipts from charity show		2,500	By Billiards table purchased	15,000
To Balance c/d		**44,000**	By Construction of new	
(Bank overdraft)			tennis court	18,000
			By Balance c/d	
			Cash in hand	8,000
		92,000		92,000

2.4 Items peculiar to not–for–profit organisations

Distinction between revenue and capital items will be helpful while preparing the final accounts of not–for–profit organisations. Revenue items will be recorded in income and expenditure account while capital items will be recorded in the balance sheet. Items peculiar to not–for–profit organisations and their accounting treatment in that context is given below:

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